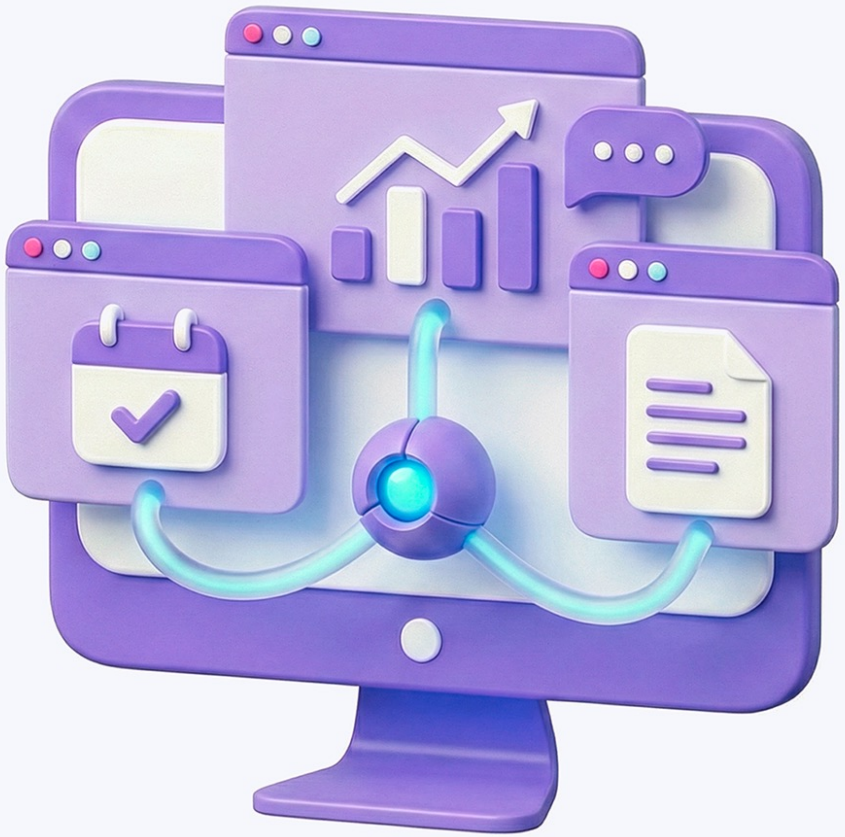
AI Productivity

Scaling Digital Intelligence



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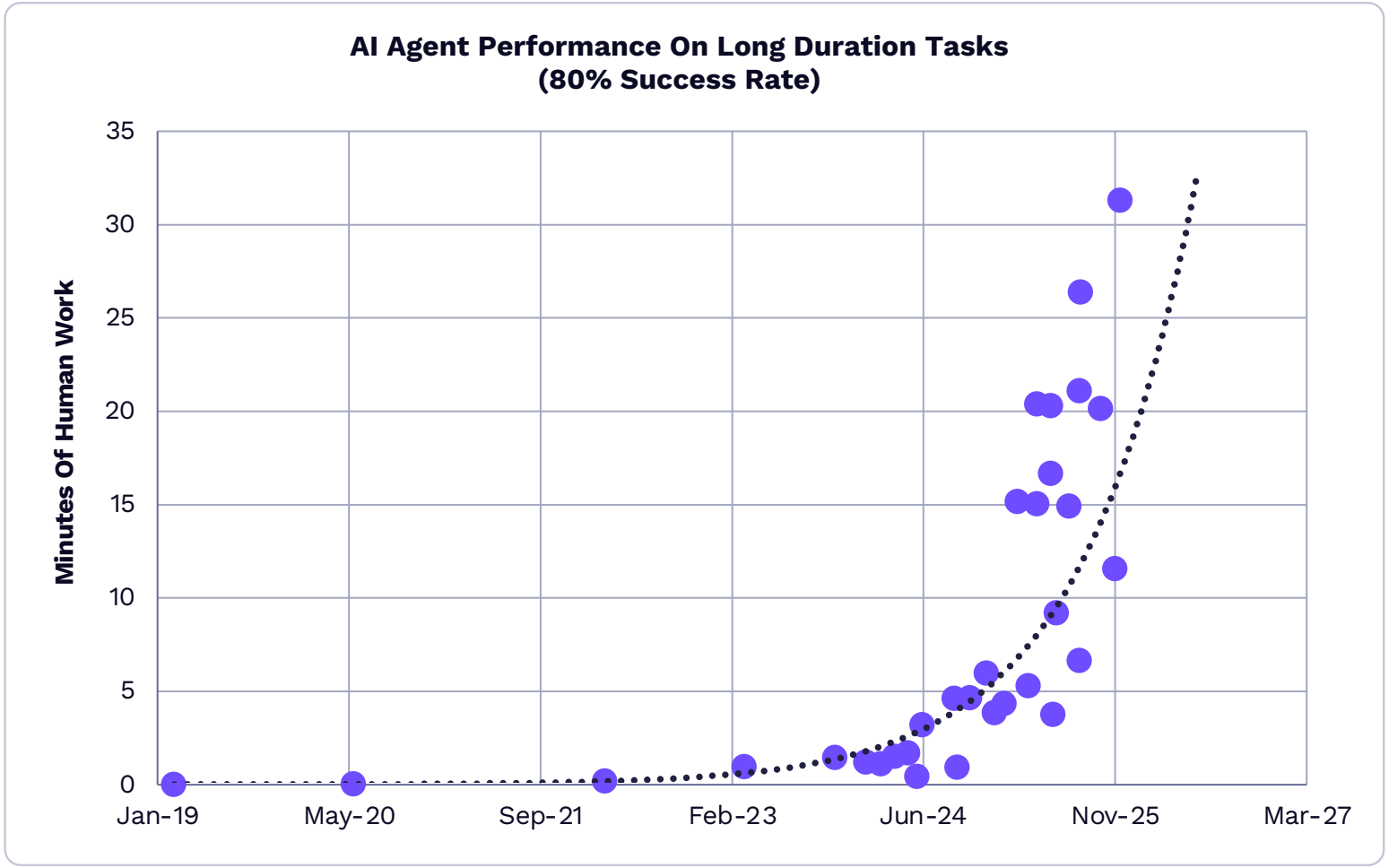
AI Agents Are Becoming More Proficient

Advances in reasoning capability, tool use, and extended context are driving an exponential increase in the capability of AI agents. The duration of the tasks they can complete reliably increased 5x, from 6 minutes to 31 minutes during 2025.



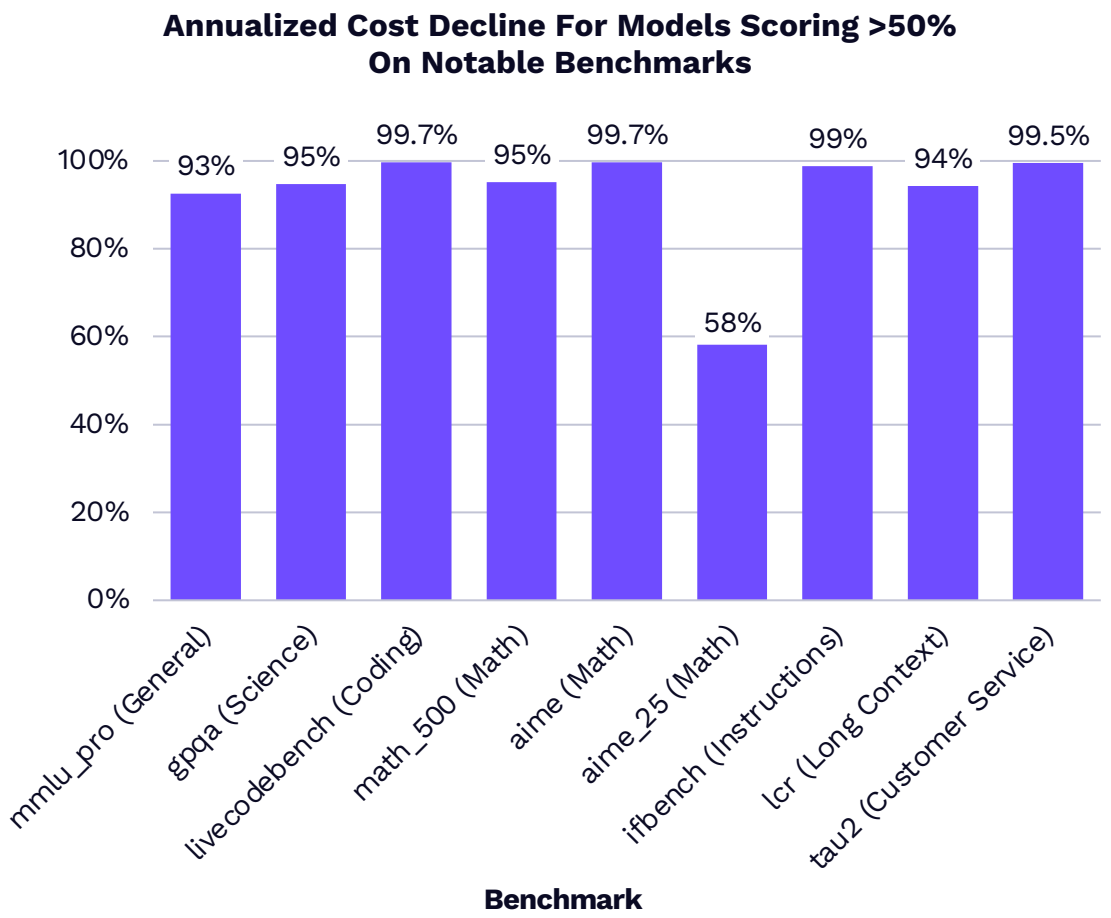
ChatGPT Subscribers Can Break Even In Half A Day

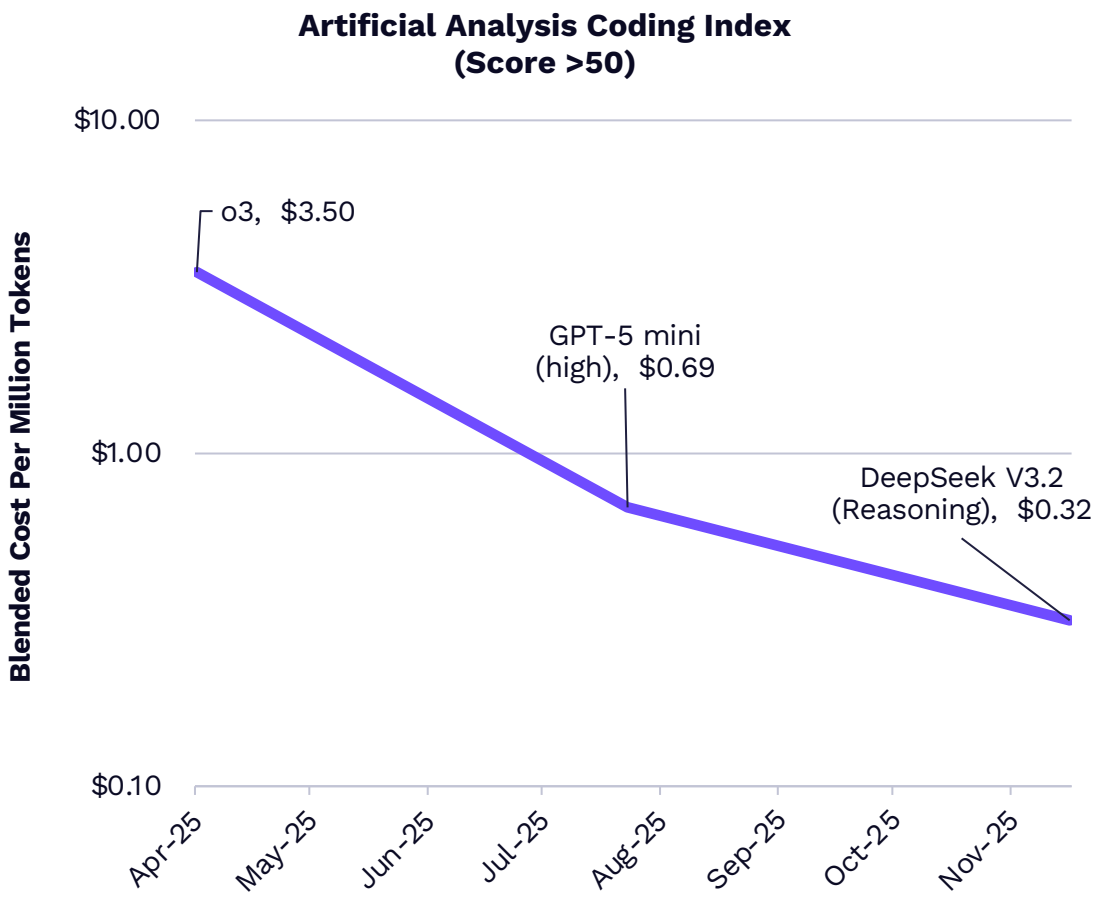
Median US Knowledge Worker Salary Per Hour	$56.5
Reported Average Daily Time Savings From ChatGPT	50 mins
Value Of Time Saved Per Day	$47
ChatGPT Plus Monthly Subscription Cost	$20
Payback Period	~1/2 Day

Source: ARK Investment Management LLC, 2026, based on data from METR 2025, Glassdoor 2025, OpenAI 2025b. For informational purposes only and should not be considered investment advice or a recommendation to buy, sell, or hold any particular security. Past performance is not indicative of future results. Past performance is not indicative of future results. Forecasts are inherently limited and cannot be relied upon.

The Cost Of Intelligence Is Collapsing

Across most domains, the cost of artificial intelligence models is falling at an exponential rate. Software development costs fell 91% from $3.50 to $0.32 per million tokens in the eight months between April and December 2025.

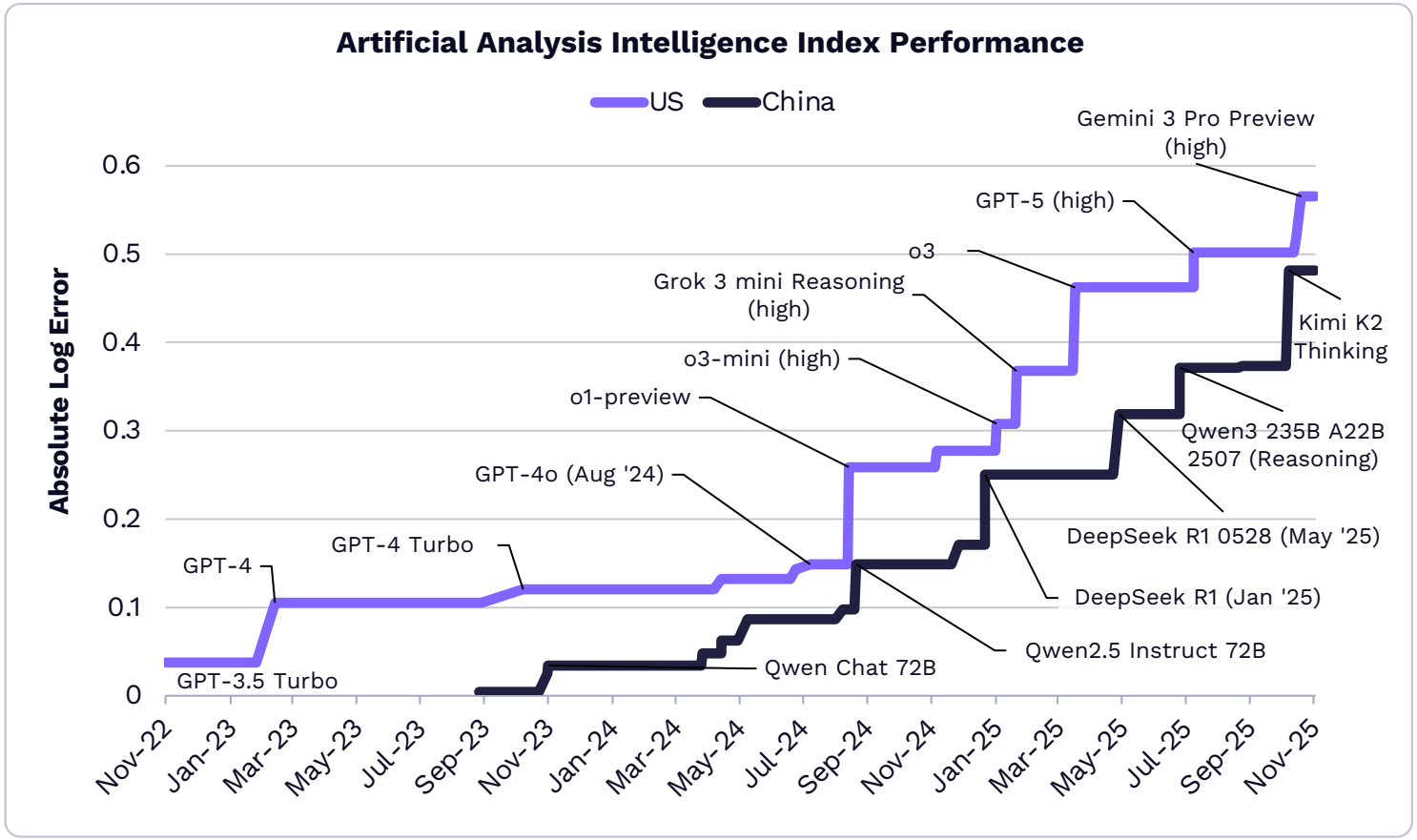


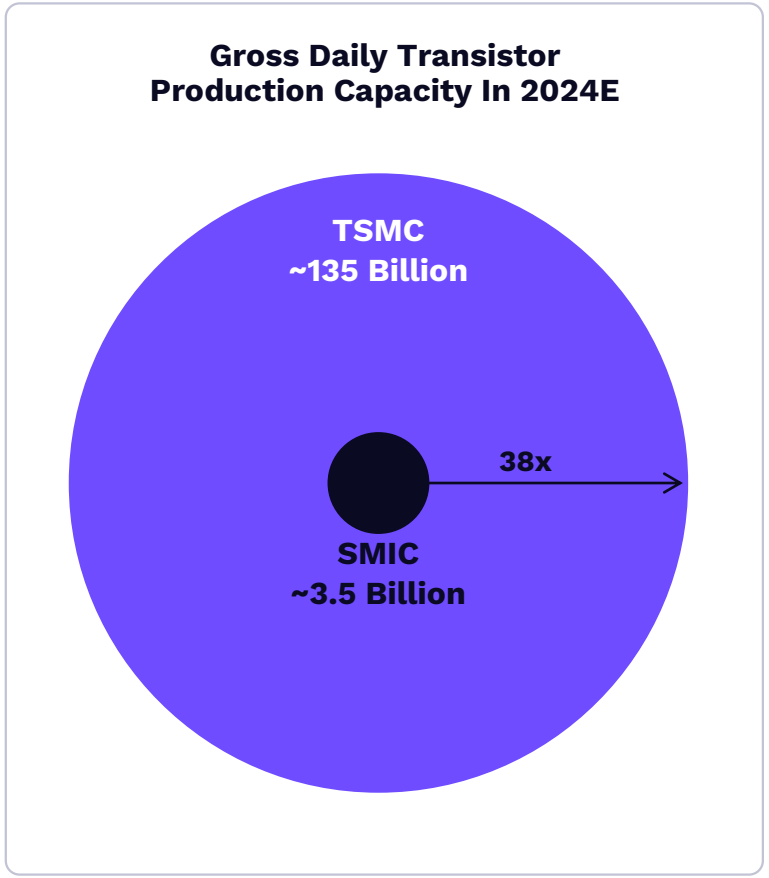


Source: ARK Investment Management LLC, 2026, based on data from Artificial Analysis 2025b as of 12/17/2025. For informational purposes only and should not be considered investment advice or a recommendation to buy, sell, or hold any particular security. Past performance is not indicative of future results. Forecasts are inherently limited and cannot be relied upon.

The US Is Leading In The Highly Competitive Global Race With China

Chinese models now trail the performance of American models by only six months. While the performance of their frontier models continues to lag, China dominates the open weight landscape with eight of the ten most performant open models on the market, all eclipsing the once-dominant Meta. To remain competitive, China must access more compute capability, a tall task as Taiwan Semiconductor Manufacturing Company (TSMC) is producing 38x more compute than Semiconductor Manufacturing International Corporation (SMIC), China's leading chip manufacturer.

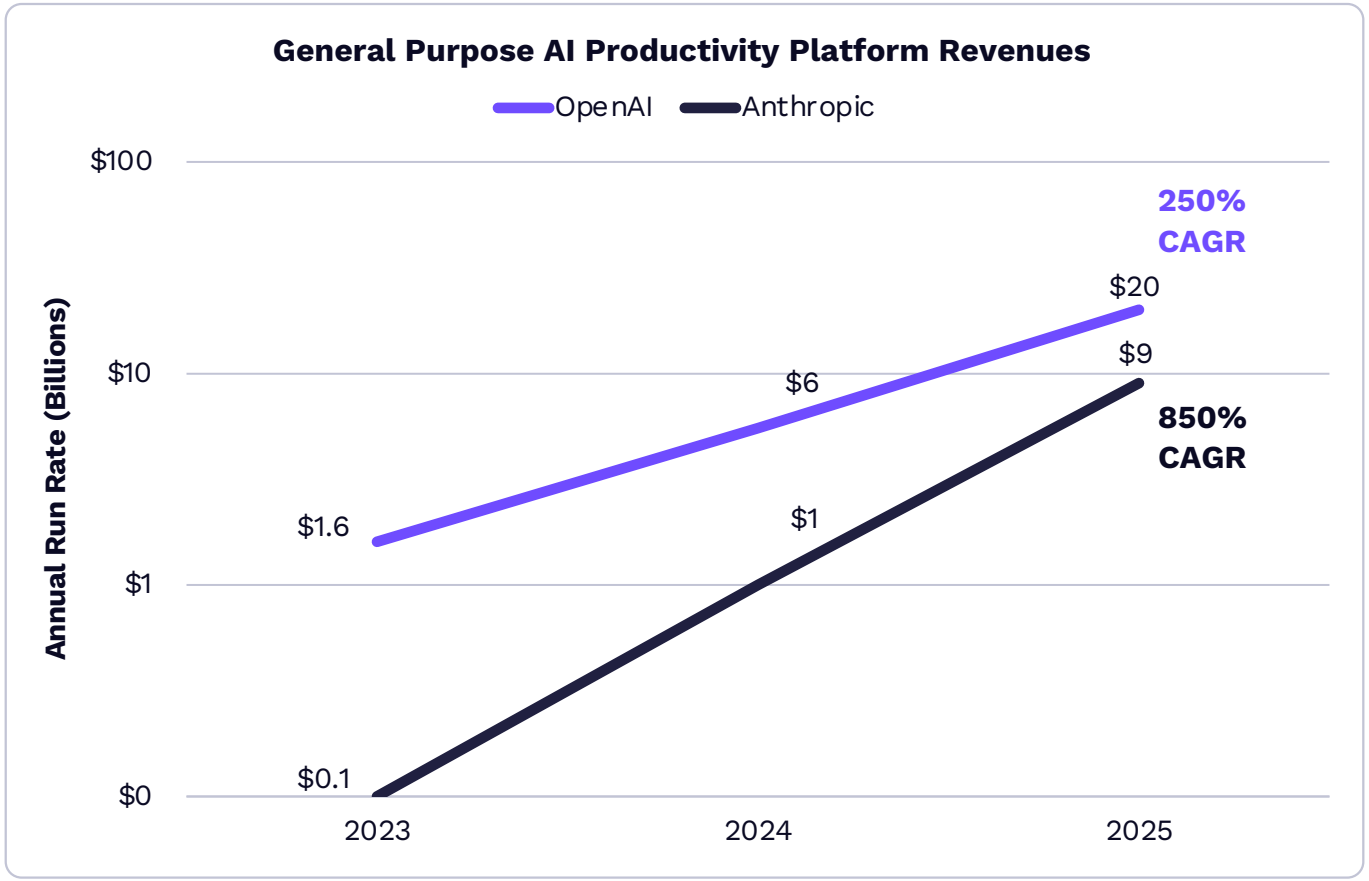




Source: ARK Investment Management LLC, 2026, based on data from Artificial Analysis 2025a, TSMC 2025, SMIC 2025, as of December 1, 2025. In addition to those sources, certain information presented may be the result of ARK's internal analyses, which draw on various additional sources of information. For informational purposes only and should not be considered investment advice or a recommendation to buy, sell, or hold any particular security. Past performance is not indicative of future results. Forecasts are inherently limited and cannot be relied upon.

AI-Native Revenue Is Growing At An Unprecedented Rate

General purpose AI providers like OpenAI and Anthropic now rival the revenues of large public software companies. At the same time, adoption of specialized offerings from AI-native startups is strong. Three-year-old companies like Cursor are growing annualized run-rate revenues (ARR) more than 1,000% year-over-year.



Specialized Startup Revenues

SOFTWARE

Cursor
$1 Billion ARR
Founded 2022

LEGAL

Harvey
$100 Million ARR
Founded 2022

HEALTHCARE

OpenEvidence
$100 Million ARR
Founded 2022

CUSTOMER SERVICE

Sierra
$100 Million ARR
Founded 2023

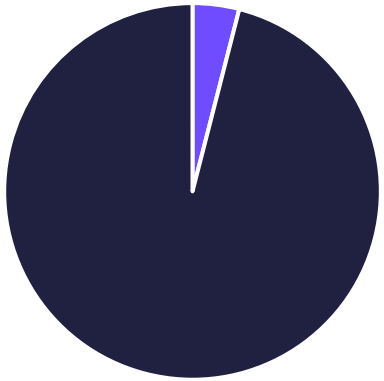
Note: "CAGR": Compound annual growth rate. Source: ARK Investment Management LLC, 2026, based on data from Reuters 2025a, Reuters 2025a, Sierra 2025. In addition to those sources, certain information presented may be the result of ARK's internal analyses, which draw on various additional sources of information. For informational purposes only and should not be considered investment advice or a recommendation to buy, sell, or hold any particular security. Past performance is not indicative of future results. Forecasts are inherently limited and cannot be relied upon.

Accelerating Worker Productivity Is A Multi-Trillion Dollar Opportunity

As businesses increasingly augment knowledge workers with AI, growth in global software spend could accelerate from 14% at an annual rate during the past ten years to 19%-56% during the next five years. While employment growth is likely to slow and average working hours decline, the long-term unemployment rate is unlikely to increase.

Today

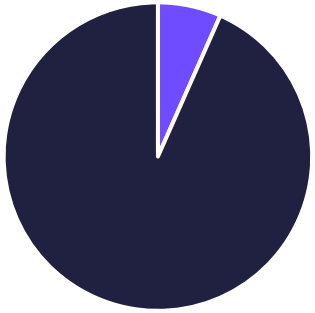
Software Wages



$1.43 Trillion
Global Software Spend

Modest Investment

Software Wages

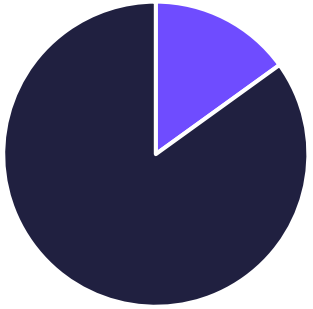


Knowledge Worker Employment Growth	**6.3%**
Automation	**31%**
Hour Reduction	**0%**
Value Unlocked:	**$22 Trillion Surplus**

$3.4 Trillion
19% CAGR

Accelerated Investment

Software Wages

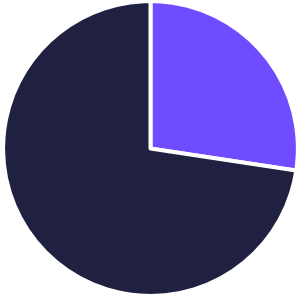


Knowledge Worker Employment Growth	**3.2%**
Automation	**61%**
Hour Reduction	**8%**
Value Unlocked:	**$57 Trillion Surplus**

$7 Trillion
37% CAGR

Rapid Mass Adoption

Software Wages



Knowledge Worker Employment Growth	**1.3%**
Automation	**81%**
Hour Reduction	**20%**
Value Unlocked:	**$117 Trillion Surplus**

$13 Trillion
56% CAGR

Note: We assume that software vendors capture 10% of value unlocked, which is additive to current global annual software spend. “CAGR”: Compound annual growth rate. Source: ARK Investment Management LLC, 2026, based on data from McKinsey 2023, Statista 2025a/b, as of November 28, 2025. In addition to those sources, certain information presented may be the result of ARK’s internal analyses, which draw on various additional sources of information. For informational purposes only and should not be considered investment advice or a recommendation to buy, sell, or hold any particular security. Past performance is not indicative of future results. Forecasts are inherently limited and cannot be relied upon.